Chairman's Statement

"2025 marked a defining chapter in First Mills' journey. It was a year in which strong execution translated strategy into tangible progress across operations, portfolio diversification and market reach.

Tariq Mutlaq Al-Mutlaq
Chairman of the Board

Our Growth. Our Commitment.

As a publicly listed company, we moved forward with clarity and confidence, strengthening our role as a trusted food producer while remaining deeply committed to the Kingdom's long-term priorities. Our progress during the year reflects a balanced approach to growth, combining operational discipline, targeted investment and a clear focus on creating sustainable value for all Stakeholders. Notably, this progress was underpinned by solid financial fundamentals and a prudent capital structure, enabling continued strategic investments without compromising resilience.

A year of strategic progress

In 2025, we reinforced the Company's long-term platform for sustainable value creation. Our priorities were clear; strengthen resilience, maintain disciplined capital allocation and ensure robust governance and risk oversight as we advanced the Company's strategic direction.

We continued to build a more future-ready business by investing in the capabilities that protect quality, safeguard continuity of supply and strengthen efficiency over the long term, while progressing our diversification agenda to broaden earnings resilience across the food value chain. Together, these efforts support the development of a more integrated operating model and positions First Mills to pursue sustainable returns and value creation over the years ahead.

Advancing Vision 2030 and national food security

Our growth in 2025 was closely aligned with Saudi Arabia's Vision 2030 and national food security objectives. By expanding production capacity across flour and feed, we contributed to a stable and high-quality domestic supply of essential food products. We accelerated innovation in value-added and fortified categories, increasing the contribution of non-subsidized products while responding to evolving consumer needs. These efforts support the Kingdom's goals of a secure, self-reliant food system and demonstrate our role in furthering those national priorities.

Resilience across our supply chain remained a priority. Investments in advanced planning systems, local sourcing initiatives and coordinated operations strengthened our ability to manage volatility and ensure continuity of supply. Beyond operations, we expanded our community engagement initiatives focused on nutrition awareness and youth development, reinforcing our role as a responsible contributor to social well-being. In doing so, we maintained our alignment with the broader Vision 2030 framework, which emphasizes not only economic growth but also social responsibility and sustainable development.

Strategic focus and market expansion

During the year, we advanced our long-term strategic roadmap to reflect changing market dynamics and emerging opportunities. Product diversification gained further momentum, particularly across specialized flours, bakery mixes and health-focused products, including gluten-free offerings. These higher-value categories broaden our relevance across consumer and commercial segments.

Geographically, we deepened our presence across high-growth regions within Saudi Arabia and began selectively expanding into regional export markets following regulatory approval. This approach allows us to optimize capacity utilization, reduce seasonality and build a more balanced revenue profile. These strategic shifts were driven by evolving consumer preferences, adjacent market opportunities and our commitment to sustainable, long-term growth.

Investing for scale, integration and resilience

Capital investment and selective acquisitions were central to our progress in 2025. In the feed sector, we completed the acquisition of 100% of Al-Manar Feed Company, adding meaningful daily production capacity and strengthening our reach in the Western region. We also completed the acquisition of a 60% majority stake in Al-Kenan Al-Arabia Trading Company, enhancing distribution capabilities and supporting vertical integration across the feed value chain.

Chairman's Statement continued

In flour milling, we advanced the construction of Mill C at our Al-Qassim site, a ⃁ 123 million investment that will significantly expand capacity upon completion in 2026. Mill C will add 600 tons of daily milling capacity. To support these initiatives, we secured a ⃁ 150 million financing facility, reflecting strong institutional confidence in our strategy. Together, these investments position First Mills to scale efficiently while maintaining operational resilience.

Enhancing governance, risk and accountability

As First Mills continues to grow, governance and risk management remain foundational to our approach. In 2025, we strengthened Board oversight across strategy, risk and sustainability, reinforcing accountability at the highest level. The Board and its committees played an active role in guiding the Company's strategic initiatives and ensuring robust risk mitigation measures. We implemented advanced enterprise risk management tools to enhance visibility and control over supply chain, market and operational risks.

Our Internal audit and compliance programs were further strengthened, alongside expanded employee training on ethics, governance and responsible business conduct. These efforts support transparency, consistency and trust, ensuring that growth is underpinned by strong institutional discipline and sound decision-making.

Ensuring responsible growth and sustainability

Sustainability continued to be fully integrated into how we operate and invest. During the year, we advanced energy efficiency initiatives across our mills and made measurable progress in reducing emissions intensity, reinforcing our commitment to responsible and efficient operations.
On the social side, we strengthened workplace safety programs and invested in employee capability development through targeted training and skills enhancement. We also published enhanced sustainability metrics aligned with international standards, improving transparency and enabling clearer measurement of progress. These actions reflect our belief that responsible growth is essential to long-term value creation.

Looking ahead with confidence

We enter 2026 with confidence in our direction and readiness to build on the momentum we achieved in 2025. Our strategic priorities for the coming year include expanding our presence in high-growth product categories, increasing automation and digitalization across operations and advancing sustainability targets, particularly in energy and resource efficiency. We will continue to deepen partnerships across the food ecosystem, including retailers, bakeries and foodservice providers, while selectively evaluating new expansion opportunities within Saudi Arabia and the region.

With a strengthened asset base, diversified portfolio and disciplined operating model, First Mills is well positioned to navigate market complexity and capture future growth opportunities. We remain vigilant against risks but optimistic about the prospects ahead in a growing, evolving food sector. By maintaining our commitment to excellence, innovation and sustainability, we are confident that 2026 will see First Mills continue on its trajectory of profitable growth and value creation for all Stakeholders.

Acknowledgements

On behalf of the Board, I would like to thank our executive management team for their leadership and our employees across all locations for their dedication and professionalism. We also extend our appreciation to our government partners and regulators for their continued support and to our customers, investors and Shareholders for their trust and confidence. Together, we continue to build a stronger First Mills, delivering growth with commitment and purpose.

Tariq Mutlaq Al-Mutlaq
Chairman of the Board